The Value of the Marginal Solver: Competition and Best Execution in Intent-Based Markets

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Abstract. Intent-based exchanges, the fastest-growing execution model in on-chain finance, replace order routing with a public solver auction. CoW Protocol is, to my knowledge, the first major exchange to publish the full competition behind each trade, winning and losing bids alike. I use it to measure the value of one more competitor for a customer order. From its 565,259 auctions (twelve months, 692,964 orders, 47 solvers), I find that a single retained bidder costs the median order 14 basis points, a second restores 8, a fifth under 1. The marginal-solver value curve shifts upward as liquidity thins. A reward reform during the sample period offers a natural experiment: three major solvers exited the field, and rivals filled their place within a month with no impact on bids. Solver competition is supplied by the field's depth, not its members' identity. I conclude with the observation that where a broker is bound to best execution by regulation, intent exchanges deliver it through competition that anyone can measure.

Keywords: Solver competition; order flow auctions; best execution; batch auctions; market microstructure.